

TENTATIVE RULINGS

LAW & MOTION

DEPT C25

Judge Gassia Apkarian

The court will hear oral argument on all matters at the time noticed for the hearing, **unless the Court has stated that the matter is off calendar.** Do not call the department to verify if you should appear or not. Please read below for the information. **If you would prefer to submit to the Court's tentative without oral argument, advise all counsel first to find out if all parties are submitting, and then the moving party is to telephone the clerk at (657)622-5225 with the status of all parties.** If the moving party has submitted on the matter and there are no appearances by any party at the hearing, the tentative ruling will be the final ruling. Rulings are normally posted on the Internet by 12:00 p.m. the day before the hearing. Generally, motions will not be continued or taken off the calendar after the tentative has been posted. **The moving party shall give notice of the ruling.**

June 23, 2026
10:00 AM

If you want a transcript, you must provide your own court reporter.

#	Case Name	Tentative
101	Forouzandeh vs. Wilmington Savings Fund Society, FSB 25-01479354	Demurrer to Cross-Complaint Cross-defendant Golden Coast Escrow, Inc. ("Golden") demurs to the first and seventh causes of action in the Cross-Complaint of Cross-complainant U.S. Bank Trust National Association ("U.S. Bank"). Plaintiffs filed this action to quiet title in property located at 30732 Paseo Elegancia, San Juan Capistrano, California 92675. Prior to plaintiffs' purchase of the property, the prior owner, Michael Thompson, obtained a loan in the amount of \$500,000.00 from his company, Castle Mortgage Corporation ("Castle"), secured by a deed of trust in favor of Mortgage Electronic Registration Systems, Inc. ("MERS") (the "Castle DOT"). Plaintiffs allege that on March 8, 2024, Golden, as the escrow agent, disbursed purchase money proceeds to Castle consistent with a Castle DOT payoff demand and the Castle DOT has been fully satisfied. However, On September 10, 2024, an agent on behalf

	of MERS purportedly conveyed MERS’s interest in the Castle DOT to Wilmington Savings Fund Society, FSB (“Wilmington”). Plaintiffs allege that Castle had no interest in title to assign and Wilmington had no interest in title to receive. U.S. Bank’s Cross-Complaint alleges that Castle sold the Castle DOT to Saluda Grade Mortgage Funding, LLC on January 30, 2024, and Thompson had actual knowledge of the sale. When Thompson entered into a contract for sale of the property to plaintiffs, he chose Golden as the escrow agent. Thompson had a professional relationship with Golden and Golden knew or should have known that, in light of Thompson’s personal interest and involvement in the Castle DOT, information provided to Golden by Thompson related to the payoff quote was not reliable. U.S. Bank further alleges that Golden knew or should have known that MERS was the beneficiary of the Castle DOT and, pursuant to common practice, that the chain of recorded title to the property was not an accurate and complete source of information. U.S. Bank alleges that Golden never requested from any individual or entity information about a payoff demand for the Castle DOT and that the payment made by Golden to satisfy the Castle DOT was not applied to the Castle loan and the Castle DOT remains valid and enforceable. Seventh Cause of Action for Negligence Golden argues this cause of action fails because an escrow company owes no fiduciary duty or general negligence duty to nonparties to the escrow pursuant to <i>Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co.</i> (2002) 27 Cal.4th 705. U.S. Bank argues that the allegations permit the inference that Golden had actual knowledge of red flags constituting substantial evidence of fraud such
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		that Summit does not foreclose its negligence cause of action. In the Cross-Complaint, U.S. Bank alleges that Golden owed a duty to use reasonable care in managing the escrow to identify the party entitled to payment on the Castle loan and to follow all laws and regulations governing escrow agents and officers in managing the escrow but breached the duties it owed to U.S. Bank. In Summit, a property owner took out a loan from Talbert secured by a deed of trust on the property. (27 Cal.4th at p. 708.) At the same time the deed of trust was recorded, document entitled “Assignment of Deed of Trust” was recorded that assigned the beneficial interest under the note and deed of trust from Talbert to Summit. (Id. at p. 709.) Subsequently, the property owner obtained a new loan and used it in part to pay the note, with BHE handling the transaction and CLTC acting as the escrow holder. (Ibid.) CLTC prepared a preliminary title report noting that the property was encumbered by a deed of trust securing the Talbert note and that an assignment from Talbert to Summit had been recorded. (Ibid.) BHE forwarded a payoff demand from Talbert to CLTC and CLTC paid Talbert escrow funds in accordance with the payoff demand and BHE’s instructions. Summit received no funds from Talbert. (Ibid.) Summit sued CLTC and alleged that CLTC was negligent in making payment to Talbert rather than Summit. (Id. at p. 710.) The California Supreme Court held that CLTC owed Summit no fiduciary or tort duty of care because “an escrow holder “has no general duty to police the affairs of its depositors”; rather, an escrow holder’s obligations are “limited to faithful compliance with [the depositors’] instructions.”” [Citations.] Absent clear evidence of fraud, an escrow holder’s obligations are limited to compliance with the parties’ instructions.” (Id. at p. 711.) The Court noted that even though CLTC “was aware of the assignment from Talbert to Summit, there is no evidence CLTC was aware of any collusion
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or fraud in the fund disbursement that would have adversely affected any party to the escrow.” (Ibid.)

U.S. Bank’s allegations that Golden was aware of collusion or fraud are vague and made on information and belief without including what information has led U.S. Bank to believe that the allegations are true. (Gomes v. Countrywide Home Loans, Inc. (2011) 192 Cal.App.4th 1149, 1158.) U.S. Bank alleges that Golden should have known that information obtained from Thompson was unreliable because Thompson was the sole member/manager, CEO, President, and CFO of Castle. This fact, accepted as true, does not raise a reasonable inference that Thompson was engaged in any fraud or collusion. U.S. Bank also alleges that Golden knew or should have known that MERS was the beneficiary of the Castle DOT based on common practice in the mortgage industry. This is also insufficient. In Summit, CLTC was aware that the deed of trust had been assigned from Talbert to Summit and still followed the instructions to disburse funds to Talbert. Thus, even if Golden knew that MERS was the beneficiary of the Castle DOT, Golden’s conduct in following instructions from a party to the escrow to disburse funds pursuant to a payoff demand was not negligent.

Thus, the Demurrer to the seventh cause of action for negligence is SUSTAINED with 20 days leave to amend.

First Cause of Action for Declaratory Relief

Golden argues the first cause of action fails because the declarations U.S. Bank seeks do not relate to any right or duty of Golden and there is no controversy alleged between U.S. Bank and Golden.

“To qualify for declaratory relief under section 1060, plaintiffs [are] required to show their action . . . present [] two essential elements: ‘(1) a proper subject of declaratory relief, and (2) an actual controversy

		involving justiciable questions relating to the rights or obligations of a party.’ . . . ‘The ‘actual controversy’ language in . . . section 1060 encompasses a probable future controversy relating to the legal rights and duties of the parties.’ . . . It does not embrace controversies that are ‘conjectural, anticipated to occur in the future, or an attempt to obtain an advisory opinion from the court.’” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) Under its declaratory relief cause of action, U.S. Bank seeks a judicial determination that the Castle loan has not been satisfied, and U.S. Bank is not obligated to release the Castle DOT until the loan has been satisfied. As Golden points out, the declarations sought by U.S. Bank have no relation to any legal rights and duties of Golden. Thus, the Demurrer to the first cause of action for declaratory relief is SUSTAINED with 20 days leave to amend. Moving party to give notice
102	Kohlman vs. Adaptive Behavior Center, Inc 24-01449191	Motion to Strike Cross-Complaint Cross-Defendant Adaptive Behavior Center, Inc. (“Cross-Defendant”) moves to strike the Cross-Complaint brought by Cross-Complainant Delight House, Inc. pursuant to Code of Civil Procedure section 877.6(c) and California Rules of Court, rule 3.1382. Plaintiff Irene Kohlman, as an individual and as successor-in-interest and personal representative of the Estate of Donald Kohlman did not oppose the motion. Cross-Complainant/Defendant Delight House, Inc. opposes the motion. Pursuant to Code of Civil Procedure section 877.6(c): “A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-